

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS, LLC, *et al.*,
RESPONDENTS.

**RESPONDENTS OMNI LOGISTICS, LLC'S
AND EPIC FREIGHT SOLUTIONS LLC'S RESPONSE IN
OPPOSITION TO COMPLAINANT'S AMENDED EXPEDITED MOTION
FOR *IN CAMERA* REVIEW AND TO COMPEL PRODUCTION OF DOCUMENTS**

Respondent Omni Logistics, LLC and Respondent Epic Freight Solutions LLC (collectively, "Respondents"), through counsel, respectfully submit this Response in Opposition to Complainant's Amended Expedited Motion for *In Camera* Review and to Compel Production of Documents (the "Motion").

I. Introduction.

Complainant's Motion is nothing more than a fishing expedition that would require the Presiding Officer to compel Respondents to produce documents that are plainly protected by the attorney-client privilege. In support of its fishing expedition, Complainant glaringly misstates the law governing attorney-client privilege, citing outdated and inapplicable cases in an apparent effort to persuade the Presiding Officer that Respondents' assertion of privilege is baseless. To the contrary, the communications in question are unquestionably privileged. As described below, a significant purpose for the communications that are the subject of the Motion was to obtain legal

advice. Further, even if the Presiding Officer were to determine that a communication is not privileged and were to order Respondents to produce them, Complainant's request for attorneys' fees at this stage is improper and not permitted under controlling law and Commission precedent.

II. Commission Precedent Disfavors *In Camera* Review

As noted in a case cited in Complainant's own Motion:

The use of an in camera procedure in which the presiding judge examines the requested materials in chambers to determine if the claimed privilege, etc. outweighs the need for disclosure is not encouraged but is used in cases involving national security, executive privilege, and the like, i.e., where the possible harm of disclosure could be significant to a compelling national or governmental interest.

Possible Unfiled Agreement Among A.P. Moller-Maersk Line, P&O Nedlloyd Limited and Sea-Land Service, Inc., FMC Docket No. 97-08, 1998 WL 940873, at *1 (Aug. 3, 1998) (*in camera* review is "not encouraged . . . for garden variety claims . . . because it infringes on the court's time and resources"; "it is supposed to be restricted in its use to only truly compelling cases."). Thus, as an initial matter, the Presiding Officer should not entertain Complainant's request for *in camera* review because the Motion presents an unremarkable discovery dispute devoid of any "compelling" circumstances that would warrant such relief.

III. The "But-For" Standard Complainant Cites is Flatly Erroneous.

Even if the Presiding Officer does conduct an *in camera* review of the subject documents, the Presiding Officer should uphold Respondents' claim of privilege because a significant purpose of the subject communications was to obtain legal advice. Complainant erroneously insists that the Presiding Officer must apply a so-called "but-for" test to determine if the subject communications are privileged. Complainant's Motion argues that "this Circuit¹ has applied a strict 'but for' standard, which requires a party claiming privilege to establish that 'the

¹ Respondents assume that Complainant's reference to "this Circuit" is a reference to the United States Court of Appeals for the District of Columbia Circuit.

communication would not have been made “but for” the fact that legal advice was sought.” (Motion at 7) (citing *United States v. ISS Marine Servs.*, 905 F. Supp. 2d 121, 128 (D.D.C. 2012).) Subsequent to the District of Columbia District Court’s decision in *ISS Marine Servs.*, however, the United States Court of Appeals for the District of Columbia Circuit unequivocally rejected the co-called “but for” test. In *In re Kellogg Brown & Root, Inc.*, the D.C. Circuit held:

The but-for test articulated by the District Court is not appropriate for attorney-client privilege analysis. Under the District Court’s approach, the attorney-client privilege apparently would not apply unless the sole purpose of the communication was to obtain or provide legal advice. **That is not the law.** We are aware of **no Supreme Court or court of appeals decision that has adopted a test of this kind** in this context. The District Court’s novel approach to the attorney-client privilege **would eliminate the attorney-client privilege for numerous communications that are made for both legal and business purposes** and that heretofore have been covered by the attorney-client privilege.

756 F.3d 754, 759 (D.C. Cir. 2014) (emphasis added).

Thus, the gravamen of Complainant’s primary legal argument—that the subject communications do not meet the “but for” standard—is flatly inapplicable. The *Kellogg* Court also held that the “primary purpose” test “cannot and does not draw a rigid distinction between a legal purpose on the one hand and a business purpose on the other.” *Id.* That Court held:

[T]rying to find the one primary purpose for a communication motivated by two sometimes overlapping purposes (one legal and one business, for example) can be an inherently impossible task. It is often not useful or even feasible to try to determine whether the purpose was A or B when the purpose was A and B. It is thus not correct for a court to presume that a communication can have only one primary purpose. It is likewise not correct for a court to try to find the one primary purpose in cases where a given communication plainly has multiple purposes. Rather, it is clearer, more precise, and more predictable to articulate the test as follows: Was obtaining or providing legal advice a primary purpose of the communication, meaning one of the significant purposes of the communication?

Id. at 759-760. Rather than whether obtaining or providing legal advice was the *only* or *primary* reason for a communication, “the test boils down to whether obtaining or providing legal advice was **one of the significant purposes** of the attorney-client communication.” *Id.* at 760 (emphasis

added); *see also Federal Trade Comm’n v. Boehringer Ingelheim Pharmaceuticals, Inc.*, 180 F.Supp.3d 1, 32 (D.D.C. 2016) (“[T]he ‘primary purpose’ test is not a but-for test[.]”). Thus, Complainant’s argument that the subject communications may have also had a “business” purpose is immaterial. Even if the subject communications did have a business purpose, they are still subject to the privilege if obtaining legal advice was “one of the significant purposes” of the communication.

Complainant’s objection to Respondents’ assertion of the privilege because “[n]o legal proceeding existed at the time” is also meritless because “the privilege is not necessarily tied to any adversarial process.” *In re Grand Jury*, 23 F.4th 1088, 1093 (9th Cir. 2021) ((recognizing “the merits of the reasoning in *Kellogg*.”)). The fact that no attorney authored any of the relevant communications is likewise not dispositive of whether the communications are privileged, as Complainant’s own cited case observed. *See ISS Marine Servs.*, 905 F. Supp. at 128 (“the mere fact that a document is created by a non-attorney is not dispositive of the privilege question.”); *see also Santrade, LTD v. General Electric Co.*, 150 F.R.D. 539, 543 (E.D.N.C.1993) (“A document need not be authored or addressed to an attorney in order to be properly withheld on attorney-client privilege grounds.”); *AT & T Corp. v. Microsoft Corp.*, No. 02–0164 MHP (JL), 2003 WL 21212614, at *3 (N.D.Cal. Apr. 18, 2003) (“Communications between non-lawyer employees about matters which the parties intend to seek legal advice are likewise cloaked by attorney-client privilege.”); *Boehringer*, 180 F.Supp.3d at 34 (“The same protections afforded to communications between counsel and client extend to communications between corporate employees who are working together to compile facts for in-house counsel to use in rendering legal advice to the company.”). Thus, the mere fact that an attorney did not respond via email does

not mean that an attorney did not provide legal advice or that seeking legal advice was not a purpose of the subject communications.

In short, Complainant's arguments are simply incorrect as a matter of law. Complainant's Motion brazenly (or perhaps carelessly) misrepresents the standard that the Presiding Officer must apply. The Presiding Officer should not apply the "but for" standard Complainant cites and should instead apply the applicable "significant purpose" test.

IV. One of the Significant Purposes of the Communications Reflected in EPIC 0051368-77 and EPIC 0040143-46 was to Obtain Legal Advice.

Respondents' employee, Yohanse Manzanarez, Omni Logistics, LLC's Executive Vice President of Sales, initiated the subject email communications. (Declaration of Yohanse Manzanarez ("Manzanarez Decl."), attached hereto as Exhibit A, ¶¶ 8-10.) Mr. Manzanarez sent the subject emails to Marcus Bradley, Omni Logistics, LLC's Vice President and Associate General Counsel—a lawyer. (*Id.* at ¶ 8.) Mr. Manzanarez sent the emails to Mr. Bradley for the purpose of receiving legal support and guidance. (*Id.* at ¶ 11.) Mr. Manzanarez only sends emails to Mr. Bradley for the purpose of obtaining legal guidance. Mr. Manzanarez never included Mr. Bradley on emails regarding operational issues, invoices, modes of transportation, or the like. (*Id.* at ¶ 12.) He only communicated with Mr. Bradley for the purpose of obtaining legal guidance, even when the requested legal advice had business ramifications, necessitating the inclusion of members of the business team on certain emails.

In this particular case, Mr. Manzanarez sent the emails to Mr. Bradley because, on May 13, 2022, he received a detailed and lengthy email from one of Complainant's employees, which appear to have actually been drafted by counsel for Complainant, impliedly threatening litigation. (Manzanarez Decl. ¶ 7.) In that email, Complainant indicated that it would "likely prevail" on claims for "consequential damages" and that Complainant was "evaluat[ing] its next steps and

appropriate actions.” (*Id.*) Accordingly, Mr. Manzanarez reasonably understood that Complainant was making legal threats, and determined to seek the advice of counsel. (*Id.* at ¶ 8.)

In turn, Mr. Bradley offered legal support to the business team regarding this matter. (Manzanarez Decl. ¶ 13.) He had multiple phone calls with members of the business team who are included on the subject email chains, including at least one conference call with the entire group. (*Id.* at ¶ 14.) The legal advice and guidance he offered on those phone calls was informed by the subject email communications he received from members of the business team in advance of those phone calls. *See Upjohn Co. v. United States*, 449 U.S. 383, 394, 101 S.Ct. 677, 66 L.Ed.2d 584 (1981) (the attorney-client privilege “exists to protect not only the giving of professional advice to those who can act on it but also the giving of information to the lawyer to enable him to give sound and informed advice.”).

Accordingly, a significant purpose of the emails sent to Mr. Bradley was to obtain legal advice. The Presiding Officer need not consider whether such purpose was the *only* or *primary* purpose for the communication. *See Kellogg* at 759 (It is “not correct for a court to try to find the one primary purpose in cases where a given communication plainly has multiple purposes.”).

When the subject communications were presented at the September 28, 2023 deposition, Respondents first offered to permit questions about the communications on a question-by-question basis, with Complainant’s stipulation that “allowing the questions is not a waiver of any attorney-client privilege.” (Compres Decl., Ex. A, p. 78, lns. 10-14.) Complainant refused that proposal (*Id.* at p. 78, lns. 15-21.) In a further effort to resolve the dispute, Respondents alternatively requested to “establish on the record the witness’ purpose for sending the e-mail[s].” (*Id.* at p. 79, lns. 15-17.) Complainant likewise refused that request. (*Id.* at p. 79, 21-25, p. 80, 1-9.) Complainant’s refusals demonstrate that it is not interested in the truth, but in gamesmanship. As

further demonstration of Respondents' good faith, when Complainant inadvertently produced certain privileged documents earlier in this litigation, *Respondents* brought the documents to the attention of Complainant's counsel and offered to return the documents *before* a claw-back procedure was in place and *before* Complainant even requested them. (See Emails attached hereto as Exhibit B.)

V. Complainant is Pursuing a Fishing Expedition with Respect to the Other Documents Identified on Respondents' Privilege Log.

Erroneously relying again on the inapplicable "but for" standard, Complainant asks the Presiding Officer to review additional documents identified on Respondents' privilege log because Complainant baselessly theorizes that they are not privileged. The Presiding Officer should not entertain Complainant's fishing expedition. Based on its pure speculation, Complainant requests that the Presiding Officer review an additional 15 documents on Respondents' privilege log, but Complainant only specifies the bases for its request as to six of those documents.

All of the subject documents are emails sent to a lawyer for Respondents. Four of those six documents—identified in rows 20.1, 20.2, 22.1, and 23.1 of Respondents' privilege log—are attachments to privileged emails. Respondents' privilege log clearly reflects that those documents are "[a]ttachment[s] to attorney-client communication[s]." (Manzanarez Decl. ¶ 18.) Courts have held that attachments to privileged communications, even if "they are mere factual work product, are nevertheless subject to the attorney-client privilege" if they individually satisfy the criteria for falling within the privilege. *Boehringer*, 180 F.Supp.3d at 32. The *Boehringer* Court held that email attachments reflecting "purely factual communications" were protected by the attorney-client privilege "when those facts are gathered . . . at least with a significant purpose . . . of providing legal advice to the corporation." *Id.* at 34. Here, the documents identified in rows 20.1, 20.2, 22.1 and 23.1 of Respondents' privilege log were attached to emails sent by the business to

in-house counsel to enable counsel to provide legal advice to Respondents. Accordingly, these documents are properly protected by the attorney-client privilege. (Manzanarez Decl. ¶ 18.)

The documents identified in rows 35 and 36 of Respondents privilege log were sent by a business representative to in-house counsel, Marcus Bradley, for the purpose of seeking legal advice. (Declaration of David Ikemoto (“Ikemoto Decl.”), attached hereto as Exhibit C, ¶ 9.) In conclusory fashion, Complainant surmises that these documents are not privileged merely because they were also sent to an Omni employee with a different email address domain—omnitradeservices.com. That email address simply reflects that the particular employee works for a division of Omni focused on customs brokerage. The employee’s inclusion on the email to counsel does not destroy the privilege. *See Boehringer*, 180 F.Supp.3d at 34 (“The same protections afforded to communications between counsel and client extend to communications between corporate employees who are working together to compile facts for in-house counsel to use in rendering legal advice to the company.”).

With respect to the other documents on Respondents privilege log, which Complainant fails to address with specificity, Complainant’s “focus on the sender and recipient of these documents is also misguided.” *Id.* at 34. Again, the mere fact that an attorney did not send an email response does not mean that an attorney did not provide legal advice, or that that the communications were not sent for the purpose of obtaining legal advice. *See Upjohn, supra*, at 394. Mr. Manzanarez sent the emails identified at rows 17-28 of Respondents’ privilege log after Complainant had already made implied threats of litigation, and he sent the emails to counsel to obtain legal advice on the situation. (Manzanarez Decl. ¶¶ 15-19.) Similarly, Complainant’s focus on the timing of these emails is misguided, as the existence of a pending legal proceeding is not

an element of the attorney-client privilege. Each of these emails was sent to in-house counsel for the purpose of obtaining legal advice (even if other purposes existed).

VI. Even if the Presiding Officer Grants the Motion, Complainant is not Entitled to Fees and Costs.

Like its errant citations to cases supporting the “but for” standard, Complainant’s request for attorneys’ fees and costs associated with preparing the Motion is flatly contradicted by the law and Commission precedent. Indeed, “[a]lthough the Shipping Act grants the Commission the power to award attorney’s fees in connection with a reparation award, 46 U.S.C. § 41305, **it does not grant the Commission the power to award attorney’s fees in connection with a discovery dispute.**” *Streak Products, Inc. et al. v. UTI United States, Inc.*, Docket No. 13-04, 2014 WL 5316341 (F.M.C.), at *23 (April 7, 2014) (emphasis added) (citing *Congressional Research Service: Awards of Attorneys’ Fees by Federal Courts and Federal Agencies*, at 24 (updated June 20, 2008) (available at <http://www.fas.org/sgp/crs/misc/94-970.pdf>, last visited Apr. 4, 2014) (“Before an agency may order a litigant to bear his adversary’s expenses, ‘it must be granted clear statutory power by Congress.’”) (quoting *Turner v. FCC*, 514 F.2d 1354, 1355-1356 (D.C. Cir. 1975)).

Thus, the Presiding Officer is without authority to award Complainant attorneys’ fees in connection with the Motion. Complainant *again* offers misleading legal citations in support of its request for attorneys’ fees. First, Complainant cites *Crocus Investments, LLC & Crocus, Fze v. Marine Transport Logistics, Inc., et al.*, FMC Docket No. 15-04, 2018 WL 2113084, at *7 (May 2, 2018) for the proposition that “the Commission . . . has inherent authority to control the proceedings and sanction misconduct when appropriate.” While that statement is undoubtedly true, the cited portion of *Crocus* has utterly no bearing in this context and in no way supports Complainant’s Motion. *Crocus* involved an attorney who “repeatedly accused Respondents and

their counsel of intentional misconduct carried out to purposefully deceive the Commission or misrepresent evidence.” *Crocus* at *8. The sanction to the attorney was an order “not to file any pleading, motion or other document that does not meet the § 502.6 verification requirements or fails to comply with the ABA Model Rules.” *Id.* No discovery dispute was at issue, and no attorneys’ fees were requested, let alone awarded.

Second, Complainant cites *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Docket 22-29, 2023 FMC LEXIS 26, *22 (Jan. 13, 2023), which simply recognized that “[f]ailure to provide discovery may result in procedural sanctions[.]” In *MCS*, the Complainant requested attorneys’ fees due to one of the respondents’ “discovery misconduct.” *MCS* at *48. Chief Administrative Law Judge Wirth noted that “Commission Rule 254 states that ‘to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final.’” *Id.* (citing 46 C.F.R § 502.254(c)). Accordingly, Chief Administrative Law Judge Wirth held that “the request for attorney’s fees is **premature** at this point and **denied.**” *Id.*

Third, Complainant cites *Kawasaki Kisen Kaisha, Ltd. v. the Port Authority of New York and New Jersey*, FMC Docket 11-12, 2014 WL 7328475, at *7-8 (Nov. 20, 2014), which involved the dismissal of a complainant’s complaint as a sanction for failure to make discovery. The Commission’s Order makes not one mention of attorneys’ fees.

Even if the Presiding Officer were to conduct an *in camera* review and order Respondents to produce the subject documents, Complainant is plainly not entitled to any fees associated with preparing the Motion. Moreover, Respondents should not be subject to any discovery sanction because, as explained herein, Respondents have asserted the privilege in good faith, and have a supportable basis for doing so.

VII. Conclusion.

Respondents have a good faith and well-supported basis for asserting the attorney-client privilege as to the subject communications. Indeed, each of the subject documents *is* privileged. One of the “significant purposes” of sending the communications was to obtain legal advice. The Presiding Officer should disregard Complainant’s citations to cases that have been effectively overruled and deny the Motion. Complainant is attempting to elevate an uncontroversial, routine assertion of the attorney-client privilege in order to manufacture a controversy to embark on an improper fishing expedition. Finally, even if the Presiding Officer were to grant the Motion, Complainant should not—indeed, cannot—be awarded fees.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 24th day of October, 2023, a true and correct copy of the foregoing was served via electronic mail on:

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